

Tencent Music Entertainment Group

TME | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$13.00
Current price (October 2, 2026 close)	\$7.74
Implied upside / downside	+68%
Verdict	BUY

Investment Thesis

Tencent Music is the Spotify of China that the market still prices like a karaoke-app operator in structural decline. That framing is years out of date. The company's revenue mix has pivoted decisively toward online music services — subscriptions, advertising, digital albums, concerts — which grew 11% year over year in the second quarter of 2026 to RMB 7.61 billion, while the legacy social-entertainment business continues its managed shrink. At \$7.74 the shares price in a future where Chinese consumers never pay for music; the reality is that they increasingly do, and Tencent Music collects the toll.

The core of the bull case is paid penetration. Tencent Music ended 2025 with well over 120 million paying users, yet that is still only around a fifth of its music monthly active users — roughly half Spotify's conversion rate in mature markets. Every point of conversion is almost pure margin, because the content costs are largely fixed. On top of that, the Super VIP (SVIP) tier — priced at roughly RMB 40 per month versus RMB 8 for standard — passed 20 million subscribers by year-end 2025 and is the engine of average-revenue-per-user expansion. A subscriber base migrating up a 5x price ladder is one of the most attractive unit-economics stories in global consumer internet.

The \$2.4 billion acquisition of Ximalaya, completed in May 2026, extends the runway further. Ximalaya is China's leading online audio platform — podcasts, audiobooks, long-form audio — and folding it into Tencent Music creates cross-selling between music subscribers and audio listeners while consolidating the broader audio market. The market has treated the deal as a distraction; we see it as the company buying the adjacent category it would otherwise have to compete with, at a price its balance sheet easily absorbs.

We do not minimize the China discount: the VIE structure, regulatory overhang, and geopolitical risk are real, and our valuation charges a full 250bp country-risk premium for them. But after that charge, the math still works. Our \$13.00 fair value implies the market eventually pays a normal multiple for a subscription business with 120 million-plus paying users, rising ARPPU, and a net-cash balance sheet — not a heroic multiple, just a normal one. The bear case at \$4.84, which sits well below the current price, captures what happens if

regulation or competition breaks the story; we think that outcome is over-weighted in today's price.

Business Overview

Tencent Music Entertainment Group, headquartered in Shenzhen, operates China's largest online music platform through four flagship products: QQ Music, Kugou Music, Kuwo Music, and the WeSing karaoke app. Following the May 2026 closing of the Ximalaya acquisition, it also owns China's leading long-form audio platform. The company reports in two segments: music-related services (subscriptions, digital albums, advertising, concerts, and artist merchandise) and social entertainment (live streaming and online karaoke tipping).

The strategic pivot of the past several years has been the deliberate shift from tipping-driven social entertainment toward subscription-driven music services. Music-related services now account for the large majority of revenue and essentially all of the growth, while social entertainment — pressured by regulatory tightening around live streaming — has been managed for cash. The subscription business benefits from Tencent's broader ecosystem: distribution through WeChat and QQ, AI-driven recommendation, and partnerships with domestic and international labels that deepen the content moat.

Economically, this is a classic subscription compounder in its early innings. Content licensing costs scale more slowly than subscriber revenue, so incremental paying users carry very high margins; the SVIP tier amplifies this by quintupling revenue per subscriber for the most engaged cohort. The company holds a substantial net-cash position, funds the Ximalaya deal from its balance sheet, and has begun returning capital through buybacks — unusual financial strength for a business the market prices as fragile.

Forward Outlook

Our judgment is that Tencent Music is roughly where Spotify was five to seven years ago: past the proof-of-concept for paid conversion, but far from the penetration ceiling. Chinese consumers' willingness to pay for digital content has risen steadily across video, literature, and now music, and Tencent Music's conversion funnel — hundreds of millions of free users, AI-personalized recommendations, artist superfans products — is purpose-built to harvest that shift. We expect paying users to keep growing at a double-digit pace and, more importantly, ARPPU to keep climbing as the SVIP mix shifts upward and as the company layers concert ticketing, merchandise, and premium audio benefits onto the membership.

Ximalaya is the swing factor for the next three years. The integration risk is real — large Chinese internet acquisitions have a mixed record — but the strategic logic is sound: music and long-form audio share users, share the subscription relationship, and share the fight against short-video platforms for ear time. If Tencent Music executes, the combined entity owns the two largest audio use cases in China and can bundle them in ways no competitor can match. Even a partial success adds a durable growth leg; the bull case assumes the full synergy thesis lands.

The honest risk to this outlook is not competition — NetEase Cloud Music is a capable rival but the market is large enough for two winners — it is the regulatory and geopolitical environment. Another wave of live-streaming-style intervention aimed at the music business, or a serious escalation in US-China capital-markets tensions affecting the ADR, would impair the shares regardless of fundamentals. That is why the bear case is severe and why we demand the country-risk premium. But a business compounding subscribers at this pace, with this balance sheet, at this price, is the kind of asymmetry we look for: the market has priced the China discount twice — once in the multiple and once in the growth assumptions.

Valuation

Our valuation is a probability-weighted scenario DCF, weighted 25% bear / 50% base / 25% bull, with an explicit 250bp China country-risk premium added to the discount rate — the base discount is therefore 12.5%, the bear case 15%, and the bull case 11%. Scenario-implied fair values are:

Scenario	Weight	Implied fair value	Key drivers
Bear	25%	\$4.84	Regulatory intervention hits music; VIE/geopolitical stress; subscription growth stalls; Ximalaya integration fails; social entertainment drags.
Base	50%	\$11.56	Paying users grow double-digits; SVIP mix drives ARPPU expansion; music-services margins widen; Ximalaya contributes modestly.
Bull	25%	\$25.33	Conversion approaches global levels; ARPPU compounding via SVIP; Ximalaya synergies land; market awards a subscription-compounder multiple.

The probability-weighted fair value supports our \$13.00 target. The bear case at \$4.84 sits well below the current \$7.74 price, as our framework requires — it is the genuine disaster scenario in which the VIE structure or regulation impairs the equity. The base case values a durable subscription compounder growing music-services revenue at a mid-teens rate with expanding margins, discounted for China risk. The bull case reflects what the business is worth if paid penetration converges toward global norms — a transformation that would re-rate the multiple toward Western streaming peers.

Terminal growth is capped at 2.5% on normalized mid-cycle margins, never peak margins, and the terminal value is a minority of enterprise value. We benchmark against regional streaming and subscription peers facing similar risks, never against US peers alone. The company's large net-cash position is counted once, in enterprise value — we do not double-count it in both the cash flows and the balance sheet.

Key Risks

- Regulatory risk: Chinese authorities have previously intervened in live streaming and music copyright; new rules on pricing, exclusivity, or content could impair monetization.
- VIE / geopolitical risk: the variable-interest-entity structure and US-China tensions create tail risk for ADR holders, including delisting or ownership-structure scenarios.
- Competition from NetEase Cloud Music and short-video platforms (Douyin) competing for user time and music discovery.

- Ximalaya integration: the \$2.4 billion acquisition may underdeliver on synergies or distract management from the core subscription engine.
- Macro sensitivity: a Chinese consumer downturn would slow discretionary subscription uptake and advertising revenue.

What Would Change Our Mind

- Paying-user net additions turning negative for two consecutive quarters — the conversion engine stalling would break the thesis.
- SVIP subscriber count declining or ARPPU falling year over year, indicating the premium tier has hit a wall.
- A regulatory action that directly caps music subscription pricing or mandates content sharing that destroys the catalog moat.
- Ximalaya write-downs or disclosure that integration synergies will not materialize.
- Any credible move by authorities against the VIE structure itself — this is the unhedgeable tail and we would exit on evidence it is materializing.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon — 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) — weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8-8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For this international business we add an explicit 250bp country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (the VIE structure, regulatory intervention, confiscation scenarios) are modeled in cash flows and the bear case.

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